STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	**Case 19-G-0309**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service	**Case 19-G-0310**

INITIAL BRIEF OF FAMILY ENERGY, INC.

Dated: April 6, 2020

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PRELIMINARY STATEMENT

Family Energy, Inc. ("Family"), a licensed Energy Service Company ("ESCO") serving residential and commercial customers in New York State, including many who reside in the gas distribution service territories of Brooklyn Union Gas Company and KeySpan Gas East Corp. ("National Grid" or the "Companies"), respectfully submits its Initial Brief to Administrative Law Judges Maureen F. Leary and James A. Costello in Cases 19-G-0309 and 19-G-0310.[1] For the reasons set forth below, the New York State Public Service Commission ("Commission") should reject National Grid's proposal to develop, market, and offer a Green Gas Tariff ("GGT" or "Proposal").

For more than a decade, Family has provided value-added fixed-rate natural gas and electricity products and services to residential and business customers in New York State. For the last five years, Family has offered several optional programs to its customers designed to offset carbon associated with a participating customers' gas usage. Family continues to offer a variety of "green" electric and gas products and is currently developing two additional green gas programs to further align its product offerings with New York State's ambitious decarbonization and renewable energy mandates. Family intervened in these proceedings to address a specific concern with the Companies' pending rate filing—the GGT. Family takes no position with respect to any other disputed issues in this matter which do not pertain to the GGT.

For the reasons set forth below, the Commission should reject the proposed GGT because the program has not been sufficiently described to allow reasonable opportunity for

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[1] Case 19-G-0309, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service*; Case 19-G-0310, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service*.

comment, the Companies failed to meet their burden to justify the prudence of the Proposal, and because the Proposal, if adopted, would violate well-settled law and policy established in Commission orders regarding streaming of gas. To the extent that the Companies are permitted to offer the GGT at all, Family asserts that such a product must be offered through an unregulated competitive affiliate—not the regulated gas distribution utility—consistent with long standing codes of conduct and as a matter of fundamental fairness to protect against inappropriate competitive interference with Family's current and future customer relationships as well as unfair competition to the detriment of the Reforming the Energy Vision ("REV") marketplace. To the extent that the Commission determines that National Grid may offer the GGT through its regulated utility entities, it should be directed to conform to the Uniform Business Practices ("UBP") for ESCOs and various Commission orders imposing product and marketing restrictions on competitive supply products.

POINT I

NATIONAL GRID'S GREEN GAS TARIFF PROPOSAL SHOULD BE REJECTED

On April 30, 2019, National Grid filed direct testimony and exhibits prepared by the Companies' Future of Heat ("FOH") Panel which, among other things, proposed a new program called the GGT. (Tr. 23-145; Ex. 39-51).[2] On July 3, 2019, the FOH Panel filed corrected and updated testimony. (Tr. 146-153; Ex. 229-232). On September 18, 2019, the FOH Panel filed rebuttal testimony. (Tr. 154-221; Ex. 326-329). On January 29, 2020, the FOH Panel filed supplemental testimony. (Tr. 222-235). On February 10, 2020, the FOH Panel was subjected to cross examination by Family Energy (Tr. 283-325).

[2] Parenthetical references to the transcript of the evidentiary hearing are preceded by "Tr. ___" and references to the exhibits admitted into evidence are preceded by "Ex. ___."

As the GGT is proposed by the Companies, a residential or commercial customer could voluntarily enroll in a specialized service agreement whereby the Companies would procure renewable natural gas ("RNG") for some or all of that customer's gas supply. (Tr. 285). Similar to Renewable Energy Credits ("RECs") or Community Distributed Generation ("CDG") subscriptions, where customers pay not for "green electrons," but rather, for the attributes of clean electricity generation, customers that subscribe to GGT service would not be purchasing and receiving RNG molecules, but rather, the attributes of that gas supply to claim the environmental benefit for themselves. (Tr. 285-286). As described by the Companies, residential customers could enroll in the GGT under a contract with the Companies that would require the participating customer to pay a flat monthly rate and require a minimum 12-month commitment. (Tr. 57; 286-287). Non-residential customers would be required to make a 24-month commitment and would have the option of choosing between a flat rate or a percentage of monthly consumption. (Tr. 57; 286-287). To develop and implement the Proposal, National Grid proposes hiring two full-time equivalents ("FTEs") at a cost of between $0.127 to $0.135 million per company per year to contract with RNG suppliers, manage the balance between purchases and sales, track quantities of green gas purchased and sold monthly, acquire environmental attributes, track costs and revenues, manage transaction system entries, and fulfill reporting requirements. (Tr. 142; Ex. 231).

National Grid's Proposal should be rejected for the following reasons, each of which is detailed further below: (1) as a threshold matter, the Proposal lacks sufficient detail to allow the parties, ALJs, or Commission to properly evaluate its merits; (2) the Companies failed to meet their burden to justify the prudence of the Proposal; (3) the Proposal constitutes an impermissible form of "streaming" gas supply.

A. The Companies Failed to Sufficiently Describe Key Operational Details of the Proposal

A utility bears the burden of proof to establish that proposed changes to its rates, rules, and regulations are just and reasonable. 16 NYCRR 61.1-4. To do so, a utility must present "competent testimony" to support estimates of changes in revenues, expenses, or income, including details about the cost of rendering service, and other customary operating statistics. *Id.* at 61.3. In particular, a gas utility must establish its "gas purchasing policies" by competent testimony and also "insur[e] that gas costs for both the test period and rate year are prudent and from the least-cost reliable sources" as well as describe "gas supply contracts" and "costs for all sources of gas supply." *Id* at 61.3. "Speculative or conjectural data are not acceptable and all estimates must be explained in detail and their bases definitely established." *Id.* at 61.4. At this stage, National Grid's Proposal is simply an "idea for an idea" — a shell of an undeveloped program — which lacks requisite mechanics and substance to properly evaluate. For this reason alone, the GGT should be rejected.

By way of example, a core element of the Proposal — the contract between the Companies and a participating customer — is conspicuously missing. There is no evidence to suggest that such a contract exists in draft or final form, nor of what the key terms and conditions of that contract would entail. (Tr. 316). There is no evidence from which to evaluate whether and to what extent a residential or commercial customer would be subject to an early termination fee for canceling GGT service prior to the 12-month or 24-month term of the agreement. (Tr. 316-317). Neither is there any consideration of whether a residential customer would be afforded the right to rescind the agreement within three days of his or her enrollment, as required by the Home Energy Fair Practices Act. National Grid also failed to address whether low-income customers would be eligible to enroll, and if so,

whether protections would be afforded to them, and if so, what protections. Neither was the concept of "renewals" contemplated or addressed by National Grid in its proposal, leaving it unclear as to whether customers participating in the GGT would be automatically renewed at the end of their initial term, or whether National Grid would obtain affirmative consent to renew a customer's contract. Also absent is any consideration of whether and to what extent National Grid would be allowed to adjust the rate charged to customers during the initial or renewal term in response to market conditions. Those important details, among others, were not provided in the Companies' testimony, and Companies demonstrated on cross examination that they have neither developed nor considered those key operational elements of the Proposal. (Tr. 316-318).

It is equally unclear how the GGT would align with, contradict, or interfere with retail access customer agreements, such as those offered by Family. It is not clear whether or how an existing customer of Family Energy's green gas programs would have their Family Energy service prematurely cancelled upon signing up for the GGT. Neither do any protections exist—nor were any proposed by National Grid—to properly educate and inform customers about the alignment, interference, or relationship between the GGT product and Family Energy's strikingly similar green gas product offerings. These are all basic elements of a commodity product proposal, none of which were contemplated, let alone addressed, in the Companies' Proposal. Because National Grid failed to sustain its burden of proof in providing sufficiently detailed competent testimony to explain key elements of the GGT, the Proposal should be rejected. Furthermore, because of this evidentiary failure, the Parties have been deprived of a fair opportunity to meet the evidence, present their own evidence, and to examine and cross-examine witnesses as required pursuant to 16 NYCRR 4.5.

B. The Companies Failed to Meet their Burden to Justify the Prudence of the Proposal

Not only did National Grid fail to meet its burden of providing competent testimony that is sufficiently detailed to describe its GGT proposal specifically, it also failed to justify the prudence of the Proposal as a concept generally.

The fundamental justification for the Proposal is flawed. The Companies claim that the Proposal is justified because a customer survey found that 34 percent of residential respondents and 20 percent of downstate commercial respondents indicated that they would be interested in a "green" option for natural gas supply. (Ex. 39). While that survey demonstrates consumer demand for decarbonization generally, it does not demonstrate demand, interest, or even awareness of RNG attributes, which are what the GGT would provide to participating customers. As admitted by the Companies, the survey question does not further define the words "green." (Tr. 296). A "green" product might include (1) a product that is "green" by virtue of a company procuring an equivalent amount of carbon offsets to decarbonize usage; (2) a product that is "green" by virtue of a company procuring an equivalent amount of renewable energy credits ("RECs") to promote renewable energy resources; or (3) a product, such as the GGT, that assigns RNG attributes to customers. (Tr. 297). In short, the Companies provided no evidence suggesting that consumers are aware of, let alone interested in, a specific RNG attribute option for their gas supply, which is what the GGT proposes to offer.

Furthermore, the Commission has long emphasized the importance of retail market actors, such as Family Energy, to "spur innovation in the creation of value-added products, particularly energy efficiency services that regulated rates may not provide, and to create

commodity price competition that would result in efficiencies."[3] The Proposal, if approved, would chill the type of innovation and competition desired by the Commission. Family has offered, and continues to offer decarbonized gas supply options to customers. Adequate alternatives to the GGT are readily available and are being provided in the marketplace. Such alternatives were scantly considered or addressed. The Companies' discussion of "Alternatives" in the GGT Proposal include a mere two bullet points, one of which simply reads, in its entirety, "work with energy service companies to support transportation customers." (Ex. 39.) The Company acknowledged that it did not explore alternatives to create competitive markets for RNG, similar to those that have been established for renewable electricity, such as Renewable Energy Credits ("RECs"). (Tr. 324).

In light of Commission policy to encourage ESCOs to provide innovative value-added supply products, the existence of reasonably available alternatives, and the Companies' lack of analysis on how to leverage those alternatives, the GGT should be rejected. Furthermore, the Companies' efforts to duplicate competitive product offerings that exist within, or could be developed by, the retail marketplace is inconsistent with long standing "least cost" planning principles. (Tr. 239) (explaining that "Yes, a competitive company could certainly offer a similar program" to the GGT).

For these reasons, National Grid has simply failed to justify the prudence of such an intrusion by a regulated monopoly into the retail competitive market.

[3] Case 15-M-0127, In the Matter of Eligibility Criteria for Energy Service Companies, *Notice of Evidentiary and Collaborative Tracks and Deadline for Initial Testimony and Exhibits.*

C. The Proposal Would Constitute Impermissible Streaming of Gas Supply

"Streaming" is an arrangement whereby a local distribution company ("LDC") procures specific gas supplies dedicated to certain customers or markets.[4] The PSC prohibits streaming except where non-participating customers would be worse off without the transactions occurring.[5] This means that for an LDC to stream gas, it must be able to demonstrate that non-participants would be worse off economically without the streaming transaction.[6] In other words, a streaming transaction must "generate non-participant benefits."[7] Furthermore, streaming arrangements that meet that criteria are only permissible for purposes of load retention, and are not allowed for the purpose of attracting new load or aggregating groups of customers.[8] Streaming is intended to be a "solution of last resort,"[9] and to the extent it is permitted, the Commission requires quarterly customer-specific reporting of the date, duration, price, cost, and quantity or capacity for each streaming arrangement.

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[4] Case 93-G-0932, *Proceeding on Motion of the Commission to Address Issues Associated with the Restructuring of the Emerging Competitive Natural Gas Market*, Order Concerning Compliance Filings at 28 (issued March 28, 1996).
[5] *Id.*
[6] Case 95-G-1037*, In Re Consol. Edison of New York, Inc.*, Recommendations of the Gas & Water Division of the Department of Public Service (Apr. 24, 1996) (stating that "[t]he company must be able to demonstrate that non-participants would be worse off economically without the streaming transaction).
[7] *Id.*
[8] Case 93-G-0932, *Proceeding on Motion of the Commission to Address Issues Associated with the Restructuring of the Emerging Competitive Natural Gas Market*, Order Concerning Compliance Filings at Ordering Clause 22(a) (issued March 28, 1996) (stating that NYSEG is directed to file amendments to its tariff so that "its proposals with respect to the streaming of gas supplies is clarified so as to prohibit streaming to attract new loads or to aggregated groups of customers"); *See also* Case 93-G-0932 and Case 95-G-1055, Proceeding on Motion of the Commission to Address Issues Associated with the Restructuring of the Emerging Competitive Natural Gas Market, DPS Staff Recommendation (issued Feb. 13, 1997) (stating that "[t]he Commission … allows streaming of gas for load retention, but not load attraction, purposes").
[9] Case 03-E-1761, *Proceeding on Motion of the Commission to Reexamine Policies and Tariffs for Flexible Rate Contract Service to Economic Development Customers*, Order Approving Guidelines for Flexible Rate Service Contracts (April 14, 2005) ("mak[ing] it clear that 'streaming' is the solution of last resort, and that any commodity that would be streamed may not be drawn from an investor-owned utility's existing supply portfolio used to provide commodity service to all customers, if doing so would result in increased commodity costs to non-participating customers over the term of flexible rate contract") (emphasis added).

1. The GGT Constitutes Streaming

In this case, the GGT would allow customers to voluntarily purchase RNG to offset the carbon associated with all or a portion of their gas usage. The arrangement would be considered "streaming" because the Companies would be procuring specific RNG supplies dedicated to specific customers who participate in the program. Similar programs to the GGT have been categorized as streaming arrangements. In one instance, DPS Staff recommended that a ConEdison tariff which would have allowed the company to negotiate a separate rate with a dual-fuel sales service customer under S.C. 12 would effectively amount to "streaming" gas to a particular customer at a particular rate.[10] As such, DPS Staff recommended that the Commission require that any negotiated interruptible sales service rate meet its standards for streaming—that the non-participants would be worse off without the transaction and that the company follow the Commission's reporting requirements.[11] In another instance, Reserve Gas Co. Inc. proposed to establish a co-generation sales service available to customers that wish to purchase gas for use in generation of electricity at a particular service site.[12] In response, DPS Staff noted that "the supply of gas is intended to be from a dedicated source that Reserve would broker with a local producer on behalf of the customer. This constitutes, technically, the streaming of gas to one customer, to the exclusion of all other customers. It is a practice which has been disallowed by the Commission, except under some restricted aspects, because of the potential for discrimination among similarly situated customers."[13] In this case, the GGT is

[10] Cases 95-G-1055, Consolidated Edison Company of New York Tariff Filing, *Order Approving Department of Public Service Staff Recommendation* (issued February 13, 1997).
[11] *Id.*
[12] Case 99-G-0843, Filing by Reserve Gas Company, Inc. to Establish a New Service Classification for Cogeneration Sales Service, DPS Staff Recommendation (Sep. 17, 1999).
[13] *Id.*

a form of streaming, and as described further below, it does not qualify for an exception from the general prohibition against such practices.

2. The GGT Does Not Generate Non-Participant Benefits

As a form of streaming, the GGT would be permissible only if it provided benefits to non-participating customers.[14] In this case, the GGT does not provide benefits to non-participating customers, let alone economic benefits. In fact, as admitted by the Companies, it imposes costs on non-participating customers, who cross-subsidize the program. (Tr. 291). To implement the GGT, National Grid requests cost recovery for two full-time equivalents ("FTEs"), which will be accountable for all aspects of running the program. (Tr. 291; Ex. 231). Their responsibilities include contracting with RNG suppliers, managing the balance between purchases and sales, tracking quantities of green gas purchased and sold monthly, acquiring environmental attributes, tracking green gas costs and revenues, managing transaction system entries, and fulfilling reporting requirements. (Tr. 292). Because the GGT is a form of streaming that imposes costs on non-participants, it should be rejected as an impermissible form of streaming under well-settled law established in prior Commission orders. To permit the GGT would, therefore, be arbitrary and capricious.

3. The GGT Impermissibly Attracts New Load

Even if the streaming arrangement were to provide economic benefits to nonparticipating customers, it would still run counter to the Commission's streaming policy which permits streaming only for purposes of load retention and not for the purpose of attracting new load or aggregating groups of customers. The Commission has previously

[14] Case 93-G-0932, Proceeding on Motion of the Commission to Address Issues Associated with the Restructuring of the Emerging Competitive Natural Gas Market, *Order Concerning Compliance Filings* at 28 (issued March 28, 1996).

rejected gas distribution utility tariffs that propose streaming arrangements which run counter to that rule. In an *Order Concerning Compliance Filings*, the Commission rejected a NYSEG tariff that appeared to propose an impermissible streaming arrangement. In that case, the Commission required NYSEG to file amendments to its tariff so that "its proposals with respect to the streaming of gas supplies is clarified so as to prohibit streaming to attract new loads or to aggregated groups of customers."[15] In this case, National Grid has provided no evidence that the GGT is necessary for load retention. Rather, it is apparent that the GGT would be used for load attraction and/or to aggregate groups of customers. By design, the GGT groups and aggregates customers into specialized service arrangements with fixed 12-month or 24-month terms. The Companies' apparent justification for the program—that 34% of residential respondents and 20% of commercial respondents expressed interest in "green" options to decarbonize their gas supply—suggests that the GGT serves load attraction purposes. As acknowledged by the Companies on cross examination, a customer may either enroll in the Companies' GGT program or receive supply from an ESCO such as Family Energy, but not both. (Tr. 300). A natural result of the GGT could be that Family Energy experiences load reduction, and the Companies experience load attraction. (Tr. 299-301).

Because the GGT is a streaming arrangement which is (1) not being deployed as a solution of last resort, (2) imposes costs on non-participating customers, and (3) designed in a manner that would attract new load and/or aggregate groups of customers, it does not

[15] Case 93-G-0932, Proceeding on Motion of the Commission to Address Issues Associated with the Restructuring of the Emerging Competitive Natural Gas Market, Order Concerning Compliance Filings at Ordering Clause 22(a) (issued March 28, 1996); *See also* Case 93-G-0932 and Case 95-G-1055, Proceeding on Motion of the Commission to Address Issues Associated with the Restructuring of the Emerging Competitive Natural Gas Market, DPS Staff Recommendation (issued Feb. 13, 1997) (stating that "[t]he Commission … allows streaming of gas for load retention, but not load attraction, purposes").

meet the criteria for an exception to the general prohibition against streaming and should therefore be rejected.

POINT II

TO THE EXTENT THE PROPOSAL IS AUTHORIZED, THE COMPANIES SHOULD BE REQUIRED TO OFFER IT AS A COMPETITIVE SERVICE THROUGH AN UNREGULATED AFFILIATE

A. Longstanding Codes of Conduct Prohibit Regulated Utilities from Offering Competitive Supply

Utility codes of conduct were most recently updated in the context of the Commission's Reforming the Energy Vision ("REV") initiative to reflect the principles and protections necessary as utilities evolve into distributed system platform ("DSP") operators facilitating the creation and coordination of new markets, products, and services.[16] The Codes of Conduct Order incorporated six guiding principles to address utility relationships with market actors: (1) no preferential treatment, (2) sharing of information, (3) functional separation of distribution planning and value-added service employees, (4) transparency, (5) avoiding market power conflicts, and (6) dispute resolution. The Codes of Conduct Order directed the state's investor owned utilities to file revised codes of conduct to reflect the requirements identified by the Commission as necessary for implementing the REV initiative. National Grid's revised codes were finalized on February 20, 2019 and approved by DPS Staff on March 12, 2019 (the "Companies' Code of Conduct").[17] The Companies' Code of Conduct are included as Exhibit 609.

[16] Cases 15-M-0501 *et al.*, In the Matter of a Review of Utility Codes of Conduct as Impacted by Reforming the Energy Vision, *Order Setting Standards for Codes of Conduct* (issued September 15, 2016) (hereinafter "Codes of Conduct Order").

[17] *Id.* at National Grid Compliance Filing, Revised Codes of Conduct (submitted February 20, 2019); Letter from Doris D. Stout, Department of Public Service, Office of Accounting, Audits, and Finance (issued March 12, 2019) (approving the Companies' February 20, 2019 codes of conduct).

The Companies' Code of Conduct distinguishes between several types of entities, including (1) "US HoldCo," meaning the holding company for National Grid's U.S. utility operations, (2) "RegCo," meaning the regulated gas distribution companies KEDLI or KEDNY; (3) an "Unregulated Competitive Energy Affiliate," meaning "any of US HoldCo's current or future unregulated affiliates engaged in competitive energy markets in New York State, including but not limited to exploration and/or production, generation, distributed energy resources ("DERs"), retail energy services, or HVAC services" (emphasis added); and (4) "Unregulated Affiliates," meaning "any of US HoldCo's current or future affiliates engaged in competitive retail services that KEDNY or KEDLI contracts for or provides" (emphasis added). (Ex. 609 at page 1).

On its face, the Companies' Codes of Conduct prohibits KEDLI and KEDNY, as regulated gas distribution companies, from engaging in competitive energy markets, such as providing retail energy services. The Companies' Proposal is, in nearly every way, an attempt to engage in competitive energy markets by providing retail services. Indeed, National Grid conceded on cross-examination that it would be engaged in competitive energy markets by virtue of its provision of the GGT:

> Q: So in that sense, [the Companies] would be engaged in competitive energy markets offering a competitive product?
>
> A: They would be offering a similar product, yes. And customers would be making a choice between staying as a full-service customer of the company or transitioning service from an ESCO.

(Tr. 301.)

Moreover, the Companies acknowledged that their intention is to be "the matchmaker between [ ] supply and demand." (Tr. 310). In other words, the Companies would be playing the traditional role of a retail suppler, such as Family

Energy, to procure commodity, mange purchases and sales, track quantities of gas purchased and sold, acquire and track environmental attributes, and manage system transactions. The Companies admit that a competitive entity could just as easily offer a similar program. (Tr. 293) (stating, "Yes, a competitive company could certainly offer a similar program"). Just as Family Energy would enter into a commodity purchase agreement with a customer for a fixed term, fixed rate, value-added product, National Grid would, under the GGT, enter into a commodity purchase agreement with a customer for a fixed term, fixed rate, value added product.

As acknowledged by the Companies in their written testimony and on cross examination, the GGT is based on product offered by Vermont Gas Systems in Vermont—a vertically integrated state that did not restructure its utility industry and does not offer retail competition. The Companies were not able to name a single regulated utility company in New York that has been authorized[18] by the Commission to offer a competitive product like the one being proposed in this case:

> Q: And to the best of your knowledge, has the Commission ever authorized a regulated utility company to offer a competitive product such as this in the past?
>
> A: I don't have knowledge of – of all offerings that have been made available so I cannot speak to that question.
>
> Q: But the panel – the panel is not able to name – to name one?
>
> A: (Chhahbazpour) The only other similar product that we are aware of is the Vermont Gas, Green Gas Tariff.

[18] Family notes that ConEdison did include a somewhat similar renewable electric product in its recent rate filing, but it was subsequently withdrawn by ConEdison after parties objected and moved to strike the proposal. *See* Case 19-E-0065, Proceeding on Motion of the Commission as to the Rates, Charges, Rules, and Regulations of Consolidated Edison Company, Inc. for Electric Service, *Response to Motion to Strike* (July 19, 2019).

Q: And that product is in Vermont, not New York, correct?

A: Correct.

(Tr. 325.)

The Codes of Conduct were established precisely to prevent such activity by regulated utilities in the interest of preserving an open and fair competitive market. Such distinctions were intended to be broadly defined to reflect the evolving nature of REV, thus applying to all competitive energy markets in New York State, including—but not limited to—DERs (such as wind and solar), retail energy services (such as the provision of value-added products and services offered by ESCOs), or HVAC services. Simply put, the Codes of Conduct expressly prohibit the Companies from offering the GGT.

B. Allowing the Companies to Offer the Proposal Through the Regulated Business Would Be Fundamentally Anti-Competitive and Stifle Competition

Not only would the GGT be prohibited by the black letter of the Codes of Conduct, but allowing the Companies to engage in the Proposal would be fundamentally anti-competitive and have the effect of chilling or stifling the competitive market—a market which the Commission is actively seeking to encourage and expand.

As the Companies conceded on cross examination, "a competitive company could certainly offer a similar program" to the GGT. (Tr. 293). Yet, National Grid would be afforded an enormous advantage over a competitive supplier due to its position as a regulated monopoly distribution utility. First and foremost, the Companies have the clear and explicit brand name advantage and customer relationships to edge out competitive companies offering the same or similar services. That alone, is reason to ensure distinct separation between the non-competitive traditionally regulated services of a gas utility and competitive

value-added suppliers. But National Grid would also be afforded other financial benefits and incentives for implementing and enrolling customers into the GGT, including (1) leveraging its size and purchasing power to inappropriately exercise market power, and (2) receiving "around-market" financial incentives for enrolling customers into the GGT in the form of Earnings Adjustment Mechanisms, which are unavailable to competitive market participants.

Due to the Companies' size and purchasing power, it may control most, or a substantial portion of the RNG supply available in New York State. As conceded by the Companies on cross examination, such a circumstance "would be possible if the program was wildly successful." (Tr. 312).

Unlike Family Energy, or another ESCO or market participant that may offer a competitive decarbonized gas supply option to customers, National Grid also has the unique advantage of being provided Earnings Adjustment Mechanisms ("EAMs") to enroll customers into the GGT. EAMs are around-market incentives not offered to competitive suppliers. When asked on cross examination whether the Companies would be incentivized to enroll customers into the GGT in order to achieve EAMs, the Companies conceded that "sales of RNG via the Green Gas Tariff is one of the inputs into the carbon reduction EAM, yes." (Tr. 314-15). The Companies further conceded that such EAMs are not available to competitive retail suppliers which may offer similar products that also achieve carbon reductions by virtue of gas sales. (Tr. 315). Taken together, the Companies conceded that it would therefore have an advantage in the market:

> Q: Is it the panel's position that the companies thereby have a -- an advantage in the market over competitive suppliers offering a similar product?
>
> A: To the extent that the E.A.M. is accepted as proposed by the company and that there is a financial incentive relating to the sale of R.N.G. and to the extent that that R.N.G. is sold and generates a financial incentive for the company, yes, there would be a beneficial positioning from the company.

(Tr. 316).

National Grid could use those advantages, among others, to unfairly compete against other market actors, such as Family Energy. The Companies conceded as much, acknowledging that "it's possible that a customer who may currently be receiving a decarbonized gas product from an ESCO may be convinced to terminate his or her service and elect to receive service from the Companies under the Green Gas Tariff." (Tr. 313).

National Grid is not the first utility company to propose such a market intrusion. Orange & Rockland ("O&R") once proposed a similar product offering, but it was swiftly rejected by DPS Staff and other stakeholders based on anti-competitive market stifling concerns.[19] In O&R's proposal, O&R made a tariff filing in response to a Commission order that directed gas distribution companies to submit proposals for fixed price offerings for core customers. Despite the order's specific preclusion against providing such an offering to *non-core* customers (those that have other fuel options), O&R attempted to amend its gas tariff to add a Service Class 12 "Negotiated Gas Sales Services to Non-Core Customers," which would have allowed all of O&R's non-core customers an opportunity to enroll in fixed or capped commodity gas contracts to mitigate against price volatility. Several energy marketers opposed O&R's filing, citing anti-competitive concerns, chiefly: (1) that it would provide an unfair advantage to O&R, and (2) that it would constitute impermissible streaming of gas supplies to specific customers, and (3) if the utility wished to provide this service, it could do so through the use of a utility subsidiary. DPS Staff agreed with the concerns raised by the marketers, noting that "such broad authority would afford [O&R] excessive latitude in

[19] Case 97-G-1645, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Negotiated Gas Sales Service to Non-Core Customers, DPS Staff Recommendation (May 25, 1998).

competition with relatively new market entrants who are attempting to develop markets in O&R's service territory."[20] DPS Staff concluded that approval of the program would impede the development of new market participants, and thus rejected the proposal.

Similar to O&R's proposal, which was being offered to "non-core" customers that have other fuel options and market choices, the GGT is being offered to residential and non-residential customers that have readily available choices in the marketplace for gas service, including Family Energy's products, as well as those offered (and to-be-offered by other suppliers). Like the special service pricing offers proposed by O&R, the GGT offer proposed by National Grid is an impermissible form of streaming, as described above. And just as O&R could have offered its product through an unregulated affiliate, the Companies could easily offer the GGT through an unregulated affiliate but are choosing not to do so. For the same reasons the O&R proposal was rejected, among others, the GGT proposal should likewise be rejected in the interest of preserving a fair, open, and competitive market.

POINT III

TO THE EXTENT THE COMPANIES ARE PERMITTED TO OFFER THE PROPOSAL THROUGH THEIR REGULATED ENTITIES, THE COMPANIES MUST CONFORM TO THE UNIFORM BUSINESS PRACTICES AND COMMISSION ORDERS GOVERNING COMPETITIVE RETAIL SUPPLY

Value-added commodity products, such as Family Energy's gas offerings, are heavily regulated by the Commission with respect to marketing, contractual terms and conditions, eligible subscribers, and product content. In the retail energy market, an ESCO that offers a green gas product similar to the GGT must abide by, among other things, the Uniform

[20] *Id.* at 3.

Business Practices ("UBP"),[21] Home Energy Fair Practices Act ("HEFPA"),[22] and Commission orders defining the content of product offerings and the types of customers eligible to enroll in such products.[23] Value-added commodity products mean "something more than the standard; something that exceeds expectations associated with provision of what is otherwise an undifferentiated commodity."[24] As acknowledged by the Companies, the GGT can be characterized as "above the standard product that the companies would traditionally offer" (Tr. 288). Yet, without justification, the Companies are attempting to implement the GGT as a competitive value-added product offering without being bound by any of the rules, regulations, and consumer protections otherwise applicable to the provision of those products. In fact, the Companies do not appear to be aware of the UBP, among other rules governing competitive supply options. (Tr. 317) (stating that the Companies "don't have knowledge" of the UBP). In developing the GGT, the Companies appeared to have ignored restrictions imposed on value-added products under the recent Retail Access Order and the Low-Income Prohibition Order.[25] The Commission has established those above protocols, protections, and compliance mechanisms for specific reasons. National Grid should not be permitted to bypass them at their convenience (or because of their failure to consider how such rules would align with their Proposal).

[21] *See generally*, Case 98-M-1343, In the Matter of Retail Access Business Rules (establishing the UBP in February 1999, as amended from time to time); *see also*, Case 98-M-1343, *Order on Rehearing and Providing Clarification* at Appendix A (issued September 23, 2019) (adopting the version of the UBP currently in effect).
[22] Case 98-M-1343, 99-M-0631, 03-M-0117, *Order on Petitions for Rehearing and Clarification* (implementing changes to HEFPA into the Public Service Law).
[23] *See e.g.*, Case 15-M-0127, 12-M-0476, 98-M-1343, *Order Adopting Changes to the Retail Access Energy Market and Establishing Further Process* (issued December 12, 2019) ("Retail Access Order").
[24] Retail Access Order at 51.
[25] *See* Case 12-M-0476, *Order Adopting a Prohibition on Service to Low-Income Customers by Energy Service Companies* (issued Dec. 16, 2016); *see also*, Retail Access Order; Tr. 317-322.

As a threshold matter, National Grid's Proposal fails to identify or discuss the key programmatic and contractual details that would be considered part of a standard application package if an ESCO were to seek authorization to offer the same or similar product. Before an ESCO could offer a product such as the GGT, it would need to submit a retail access eligibility application ("RAAF") which includes, among other things, draft sales agreements, quality assurance plans, sales and marketing training manuals, sample customer-facing forms and notices, sample bills, a description of procedures used to obtain customer authorization to enroll and access historic usage or credit information, samples of promotional or informational materials, a HEFPA compliance package, internal procedures to prevent unauthorized enrollments or improper charges, a list of contractors or subcontractors that may market the product or service, an environmental disclosure attestation, contact forms and consumer complaint procedures. The ESCO would also need to comply with relevant capitalization criteria and financial assurance requirements, test and implement Electronic Data Interchange ("EDI") protocols, enter into to operating agreements and billing services agreements with relevant utilities, and execute data security agreements and attestations. As discussed above, National Grid's Proposal does not include draft sales agreements, marketing plans or materials, consumer protection measures, or terms and conditions of customer contractual relationships.

Moreover, the Commission specifically prohibits the type of value-added gas commodity product proposed by the Companies in the GGT.[26] Value-added gas commodity products marketed and sold to mass market customers are limited to either (1) products that guarantee savings to the customer compared to the default utility rate, or (2)

[26] Retail Access Order, page 108 at Ordering Clause 1.

products that offer a fixed rate priced at no more than five percent above the utility's 12-month trailing average default supply costs. As the GGT does not meet one of those two exceptions, it is an impermissible product. To the extent the Companies intend to offer the GGT to Assistance Program Participants ("APPs"), it would likewise need to guarantee savings to those customers, which it does not.[27] The Companies should not be permitted to circumvent Commission orders simply by virtue of being a monopoly utility. Market fairness demands equal treatment among providers of competitive products and services. The GGT is a product that should be offered only through the Companies' unregulated competitive affiliates—not through a regulated gas distribution company. But to the extent that the Companies are permitted to offer the GGT through their regulated entities, they should be required to conform to the rules and regulations imposed on ESCOs that offer the same or similar products and services.

CONCLUSION

For the reasons set forth above, the Commission should reject the proposed GGT. To the extent that the Companies are permitted to offer the GGT, it must be offered through an unregulated competitive affiliate—not the regulated gas distribution utility—consistent with longstanding codes of conduct and as a matter of fundamental fairness and consumer protection. In the alternative, to the extent that the Commission determines that National Grid may offer the GGT through its regulated utility entities, it should be directed to conform to the Uniform Business Practices ("UBP") and Commission orders imposing product and marketing restrictions on competitive supply products.

[27] *See* Case 12-M-0476, *Order Adopting a Prohibition on Service to Low-Income Customers by Energy Service Companies* (issued Dec. 16, 2016) ("Low-income customers have very little margin for paying premiums for services, so any fixed-rate product would have to come with a minimal premium and perhaps a guarantee of savings for it to be acceptable").

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